TOPIC 3 · ECONOMIC ISSUES

ABC News · Cotality
2 Nov 2026

House prices fall at the fastest pace in 40 years

National home values fell for a seventh month in October. Cotality says this is now the fastest downturn in four decades, driven by higher interest rates and lower investor demand.

WHAT HAPPENED

- **October:** national values fell 1.2%, the seventh straight monthly fall.
- **From the peak:** values are 6.7% below March, about $63,400 off the median dwelling (now about $884,855).
- **Capital cities** are down 8.1% in seven months and are set to pass the 2017–19 record fall of 8.2%. AMP now expects a 15% fall.
- **Causes:** higher rates have cut borrowing capacity, and investors have pulled back after changes to property tax concessions.

BY THE NUMBERS

−1.2%
National home values, October

−6.7%
Fall from March peak

−8.1%
Capital cities in 7 months

$63,400
Lost off the median dwelling

KEY TERMS

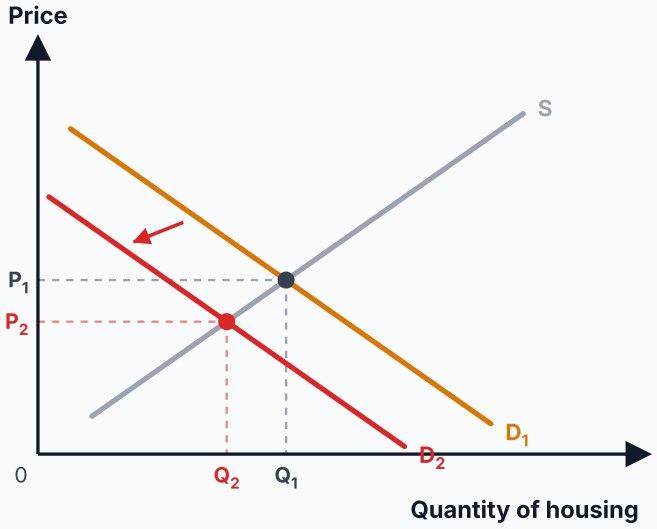
Wealth effect: Spending changes as household wealth (e.g. house prices) changes.

Transmission mechanism: The channels through which the cash rate affects spending and inflation.

Distribution of wealth: How net worth is shared across households.

DIAGRAM

A demand-led housing downturn



Higher interest rates and fewer investors shift **demand for housing** from D_1 **to** D_2. Because the housing stock is slow to change, the price falls from P_1 to P_2 and sales fall from Q_1 to Q_2.

Diagram is illustrative, not to scale.

Exam angle: Falling prices hit **recent buyers** with small deposits hardest, which matters for **wealth distribution** as well as spending.

FLOW CHART

The chain of cause and effect

Higher interest rates → Lower borrowing capacity → House prices fall → **Wealth effect cuts consumption**

SYLLABUS LINK

Topic 3 – distribution of income and wealth. Topic 4 – monetary policy transmission through asset prices.

TRY THIS

Explain how rising interest rates affect house prices and consumer spending through the wealth effect. **(4 marks)**

Sources: ABC News – Largest property downturn in 40 years in sight, 2 Nov 2026 – https://www.abc.net.au/news/2026-11-02/house-prices-fall-in-october-biggest-downturn-40-years-cotality/107325214 · ABC News – business live blog, 2 Nov 2026 – https://www.abc.net.au/news/2026-11-02/asx-markets-business-live-news-nov-2/107334212